

POLICY PACT INSURANCE BROKER PVT. LTD.

Surety Bonds

A Smarter, Capital-Efficient Alternative to Bank Guarantees
for Contractors, EPC Players & Infrastructure Companies





WHAT WE'LL COVER

Agenda

01

The Opportunity

Regulatory tailwinds & market momentum in India

02

Understanding Surety Bonds

Concept, mechanism & bond types

03

Product Suite

Bond-wise coverage, tenor & purpose

04

Surety vs. Bank Guarantee

Cost, capital & risk comparison

05

Role of Your Broker

Why an expert intermediary makes all the difference

06

Why Policy Pact

Our edge, network & track record

07

Underwriting & Process

Eligibility, documents & turnaround

08

Next Steps

Get in touch and get bonded



THE FUNDAMENTALS

What Is a Surety Bond?

A Surety Bond is a three-party financial credit instrument that protects a project owner from losses if a contractor fails to perform its contractual obligations. An IRDAI-licensed insurance company assumes liability on behalf of the contractor — with a specialist insurance broker facilitating the entire arrangement.

KEY ADVANTAGES

- Bonds are conditional — claims paid only on proven default, not on demand
- Premium-based cost — zero or minimal cash collateral required
- Recognised by IRDAI & Government of India as a Bank Guarantee alternative

THE FOUR-PARTY ARRANGEMENT



Principal (Contractor)

Purchases the bond; obligated to perform



Broker (Policy Pact)

Sources the best-fit insurer, negotiates terms, guides the principal through placement



Surety (Insurer)

IRDAI-licensed company that issues the bond and assumes liability



Oblige (Project Owner)

Receives protection against contractor non-performance



THE OPPORTUNITY

Strong Government Backing De-Risks Adoption



IRDAI Guidelines, 2022

IRDAI (Surety Insurance Contracts) Guidelines — effective April 1 2022 — created the formal regulatory framework for insurance surety bonds in India.



Ministry of Railways

Recognised the Insurance Surety Bond as a valid financial instrument for Performance Guarantees across railway contracts.



MoF Office Memorandum, 2024

Department of Financial Services (3 April 2024) directed all Ministries & Departments to accept Insurance Surety Bonds as an alternative to Bank Guarantees.



THE OPPORTUNITY

Key Catalysts for Surety Bond Growth in India



Capital Expenditure Growth

Rising government infra spend is driving higher project volumes — and greater demand for surety bonds as a Bank Guarantee alternative.



Railways

Expansion and modernisation of rail networks and freight corridors are creating high-value opportunities requiring surety support.



Urban Infrastructure

Large-scale urban projects — smart cities and redevelopment — are increasing the need for performance and bid bonds.



Metro Networks

Rapid metro expansion across multiple cities is driving continuous demand for contractor-backed security with reduced liquidity stress.

Budget 2026–27: ₹12.2 Lakh Cr infra capex • New Infra Risk Guarantee Fund **Market Momentum:** First bond Dec 2022 • ~₹3,000 Cr issued by May '24 — accelerating across NHAI, Railways & Renewables



UNDERSTANDING SURETY BONDS

Types of Surety Bonds



Bid Bonds

Guarantees the owner that the bidder will sign the contract if awarded, and ensures compensation if the bidder fails to accept.



Performance Bonds

Assures the owner that the contractor will execute the project per contract terms, specs, and timelines.



Advance Payment Bonds

Secures client prepayment (mobilization advance) against misuse or contractor default.



Maintenance Bonds

Financial protection against the cost of remedying defects in a completed project during the DLP.



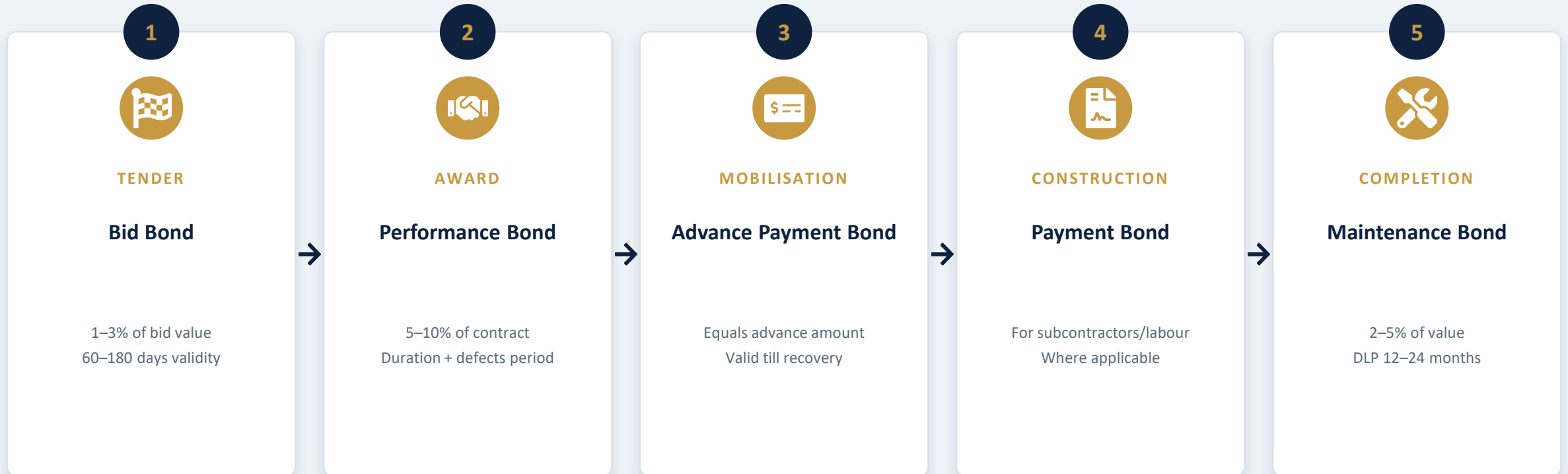
Retention Money Bonds

Releases cash retention from running bills while protecting the client through the liability period.



UNDERSTANDING SURETY BONDS

The Surety Bond Lifecycle



Comprehensive lifecycle coverage across Construction, Infrastructure & Engineering projects — from tender to final handover.



Contract Surety Product Details (1 of 2)



Bid Bond

COVERAGE

1% – 3%

TENOR

60 – 180 Days

PURPOSE

Secures bid commitment. Guarantees the bidder will sign the contract and furnish the Performance Bond if awarded.

KEY REQUIREMENTS

- Tender Notice / RFP
- Basic Financials
- Track Record
- Bidder Eligibility



Performance Bond

COVERAGE

5% – 10%

TENOR

Contract + Defects

PURPOSE

Guarantees execution of the project per contract terms, specifications, and timelines.

KEY REQUIREMENTS

- Audited Financials (3Y)
- Order Book
- Project Cash Flows
- General Indemnity



PRODUCT SUITE

Contract Surety Product Details (2 of 2)



Advance / Mobilisation

COVERAGE

Up to Advance Amt

TENOR

Until Recovered

Secures the client's prepayment (mobilisation fund) to the contractor against default or misuse.



Retention Money Bond

COVERAGE

2.5% – 5%

TENOR

Till Completion Certificate

Releases cash retention withheld from running bills while protecting the client through the liability period.



Maintenance Bond

COVERAGE

10% – 100% (varies)

TENOR

1 – 2 Yrs (DLP)

Covers defects discovered post-completion during the Defect Liability Period.



Cost Comparison: Bank Guarantee vs. Surety Bond

Cost Component	Bank Guarantee	Surety Bond
Cost of Capital	Variable, linked to T-Bill rates	Fixed premium rate
Processing Fee	Charged on bank margin	None
Collateral Required	Up to BG limits — cash/assets tied up	None
Renewal Fee	Charged on bank margin	None
Administrative Fees	Various processing fees	None
Unused Credit Charges	Commitment charges on unutilised portions	None
Non-compliance Penalties	Higher penalties	None
Audit Costs	Regular audits incur costs	Included in underwriting
Process Complexity	Extensive documentation required	Streamlined with broker support
Penalty Interest	Can substantially increase total costs	Costs limited to premium only



SURETY VS. BANK GUARANTEE

Strategic Advantages of Surety Bonds for Contractors



Working Capital Efficiency

Zero to minimal cash collateral vs. 100% margin often demanded for bank guarantees — freeing capital for core operations.



Cost Optimisation

Competitive fixed premiums based on financial strength. Structures align flexibly to the contract lifecycle.



Risk Mitigation

A conditional obligation — claims paid only on proven default, protecting against arbitrary on-demand encashments.



Free Up Bank Limits

Releases your bank credit lines so you can bid for more contracts and fund working capital simultaneously.



Accounting Treatment

Off-balance-sheet advantage: premiums are treated as an expense; BGs consume credit lines.



Speed & Convenience

Pre-approved facility limits for frequent users. Bonds issued digitally — ready exactly when tenders open.

ROLE OF YOUR BROKER

Why You Need a Specialist Insurance Broker

Surety bonds sit at the intersection of credit, insurance, and construction law.

A specialist broker doesn't just place your bond — they engineer the right solution.



Market Access

Access to multiple IRDAI-approved surety insurers — we source the best terms, not just the first quote.



Insurer Negotiation

We negotiate premium rates, collateral waivers, and limit enhancements on your behalf.



Underwriting Support

We prepare and present your financials and track record in the format insurers need — improving approval odds.



End-to-End Processing

From application to bond issuance, we manage every step — saving you time and internal bandwidth.



Portfolio Management

Manage your entire bond programme — renewals, enhancements, limit reviews — under one relationship.



Claims Advocacy

If a claim is raised, we stand in your corner — advising on defence and liaising with the insurer.



Broker-Placed vs. Direct Placement — What's the Difference?

Factor	Going Direct to Insurer	Via Policy Pact (Broker)
Insurer Options	Single insurer view	Multiple insurer comparison
Premium Rates	Published/rack rates	Negotiated competitive rates
Underwriting Guidance	Self-prepared, hit-or-miss	Expert preparation & presentation
Collateral Waivers	Unlikely without leverage	Negotiated based on relationship
Claim Support	On your own	Dedicated advocacy & guidance
TAT & Issuance	Slower — no pre-agreed process	Faster — pre-approved limits
Bond Structuring	Standard off-the-shelf terms	Tailored to your contract & risk
Ongoing Management	Ad-hoc, self-managed	Proactive portfolio reviews



WHY POLICY PACT

Your Trusted Surety Bond Partner



Multi-Insurer Panel

Access to all major IRDAI-approved surety insurers in India — we place with the best fit for your risk.



Institutional Expertise

Dedicated institutional business team with deep expertise in surety bonds, EPC, and infrastructure contracts.



Strong Negotiating Power

Volume relationships with insurers mean we secure better rates, higher limits, and collateral waivers.



Seamless Documentation

We handle the entire paperwork and underwriting presentation — you focus on your project.



Fastest Turnaround

Pre-approved facility limits for repeat clients ensure bonds are issued the moment tenders open.



Claims Support

We stand by you if a claim is raised — coordinating with the insurer and guiding you through the process.



Surety Risk Assessment Factors

Contractor Experience



Years in industry, awards/certifications, experience on similar projects

Credit Rating



Sufficient financial/credit position to complete the project

Principal Assessment



Financial soundness, past behaviour & experience handling contractors

Project Duration



Bond tenor typically matched to the project duration

Financial Stability Analysis



Key ratios (Current, Debt-to-Equity) reviewed for a minimum 3 years

Bankruptcy / Litigation Check



Evaluation of any current or previous bankruptcy or lawsuits

Nature & Complexity



Nature and complexity of the project assessed carefully

Underwriting — 3 Cs



Evaluated on: Character, Capacity and Capital



Eligibility & Documents Required

WHO CAN APPLY

- Established contractors / EPC players with a demonstrable project track record
- Healthy financial position supported by audited financial statements
- Adequate order book and working-capital visibility for the bonded project
- No history of contract default, blacklisting or adverse litigation
- Project and bond tenor aligned with underwriting appetite

BID BOND — DOCUMENTS

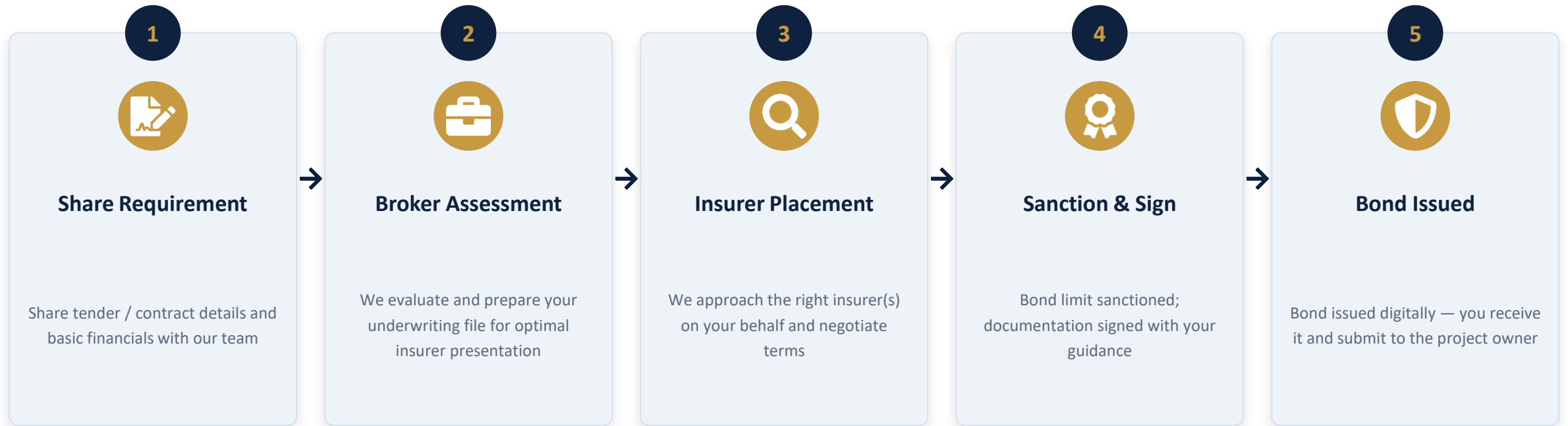
- Proposal form & tender (RFP) document
- Last 3 years audited financials + current year provisionals
- Order book / sales figures, past completion certificates

PERFORMANCE BOND — ADDITIONAL DOCS

- Letter of Award (LOA) & signed/draft contract agreement
- Project milestones & financial tie-up status
- Detailed Project Report (DPR) / TEV report



How It Works — Application to Issuance via Policy Pact



Policy Pact manages every step — so you never have to navigate the insurer relationship alone.



OUR EXPERTISE

Infrastructure & Construction Sectors We Serve



Roads & Highways

NHAI, State PWDs, Expressways



Railways & Metro

IRCTC, Metro Corps, HSR Corridors



Renewables

Solar Parks, Wind Farms, ISTS



Power T&D

PGCIL, Substations, State DISCOMs



Oil & Gas

ONGC, IOCL, Pipeline Projects



Water & Urban Infra

AMRUT, Smart Cities, Sewage



Ports & Airports

JNPT, AAI, Greenfield Projects



Real Estate / Commercial

Large commercial & government building contracts

NEXT STEPS

Let's Structure Your Next Bond



Share Your Requirement

Send tender / contract details and basic financials



We Handle the Rest

Policy Pact sources, negotiates, and places the bond — you stay focused on your project



Get Bonded

Receive your surety bond digitally and bid with confidence

YOUR POINT OF CONTACT

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Thank You

Surety Bonds — Placed Right, Every Time

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